

Table 7.10 Trading Tactics

Trading Tactic	Explanation
Measure rule	Measure the height of the pattern from the lower of the two bottoms to the high between the two bottoms. Add the height to the high price between the two bottoms. The result is the target price. Large percentage moves will be unlikely. The bottom portion of the table shows how often the measure rule works.
Stop location	Place a stop at the location of your choice, using the results in Table 7.7 as guidance.
Launch price	Determine where the launch price is and use that as a target.
Higher second bottom volume	If the right bottom shows higher volume than the left one, expect better performance (in bull markets).

Description	Bull Market	Bear Market
Percentage reaching half height target	88%	77%
Percentage reaching full height target	74%	55%
Percentage reaching 2× height	53%	31%
Percentage reaching 3× height	39%	17%
Return to launch price	70%	51%